

HSBC Holdings plc

Mixed 1Q with strong Fees but higher impairments;
Expect limited changes to consensus

HSBC reported a mixed set of 1Q results with underlying PBT in line, driven by a strong Fee performance (6% ahead) led by Transaction Banking (6% ahead), Wealth (4% ahead) and gains on sale (c\$0.2bn), offset by higher costs (4% weaker vs consensus) and higher impairments (9% higher at 52bps CoR). Banking NII was in line while FY26 NII guidance has been improved to c\$46bn with consensus at \$45.83bn reflecting higher rates, with 1Q26 also seeing deposit growth (+\$9bn q/q) despite normal seasonality. Wealth had a strong quarter growing +15% y/y led by Investment Distribution (+21% y/y) and Insurance (+19% y/y), with +\$39bn of net new money at c10% new money rate, and \$1.4bn of new business CSM. Cost growth guidance was left unchanged at +1% y/y although from a higher FX-adjusted base, while 1Q26 costs of +3% y/y were driven by the phasing of variable pay. Impairment guidance for FY26 has been increased to c45bps CoR (vs consensus 42bps) reflecting ongoing uncertainty, with the Group taking a 1Q charge of \$0.3bn related to the Middle East including refreshed macros and a new severe Downside scenario, alongside a surprising \$0.4bn charge on a UK-financial sponsor fraud, while HK CRE trends were stable. The Group has not experienced any significant financial impact yet from the Middle East, while its new top-down downside scenario of increasing severity and duration (although with assumptions undisclosed) sees a potential stress of MSD% PBT impact in 2026, before management actions, across revenue, balance sheet and ECLs. Overall, we expect limited changes to consensus with stronger revenue trends likely to be offset by higher costs and a weaker impairment outlook, with any prolonged challenges in the Middle East likely to further weigh on PBT. We remain N with the stock trading on 10.1x PE, 1.7x PTNAV for a RoTE 17.8% 27E.

- **Noteworthy Areas:** 1) Banking NII of \$11.25bn was in line with company-compiled consensus, with Customer lending +2% q/q (ccy) driven by strength in CIB (+\$12bn q/q) and UK (+\$4bn q/q) with other divisions were also higher, and Customer accounts +1% q/q led by CIB +\$10bn q/q while other divisions were flattish (HK flat q/q, UK flat q/q and International Wealth -\$1bn q/q). 2) Fee & Other income of \$7.87bn was 6% ahead of cons with a) Transaction Banking fee income 6% above cons (+2% y/y ccy), b) Wealth income 4% above cons (+15% y/y ccy) with growth in all products (including Investment Distribution +21% y/y, Insurance +19% y/y). The Group saw \$39bn of net new money (or 10% annualized net flow rate) including \$34bn in Asia (vs \$26bn/\$19bn in 4Q25 and \$23bn/19bn in 1Q25); Other income within Fees was 10% above cons and included a \$0.2bn gain on sale of land in Japan. 3) Costs of \$8.54bn were 4% above cons leading to PPOP of \$10.58bn 1% above cons. 4) Impairments of \$1.3bn (52bps CoR) were 9% above cons and included \$0.3bn related to Middle East conflict and \$0.4bn for fraud-related, secondary securitization exposure to a financial sponsor in the UK. 5) PBT (clean) of \$10.06bn was in line with cons while stated PBT of \$9.38bn was 2% below cons. 6) CET1 of 14.0% and DPS of 10c were in line with cons. 7) TNAV/Sh of \$9.46 (-18c q/q) vs cons \$9.42.

Neutral

HSBA.L, HSBA LN

Price (01 May 26): 1,359p

Price Target (Dec-27): 1,360p

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- **Outlook & Guidance: 2026:** 1) Banking NII increased to c\$46bn (vs cons \$45.83bn, JPMe \$45.72bn) reflecting an improved rate outlook (mid-April); 2) Cost growth unchanged at +c1% from a baseline of \$34.0bn (implied at \$34.3bn) vs cons \$34.05bn, and the Group achieved \$0.3bn of simplification cost savings in 1Q with c\$0.7bn expected to be realised across 2026; 3) ECL increased to c45bps reflecting ongoing uncertainty (cons 42bps); 4) CET1 14-14.5% target range; 5) Expected material notables: a) -\$0.2bn reserves recycling losses in 2H26, related to the South Africa transaction (Fee and other income), b) up to \$0.4bn gain in 1H27, on the disposal of Indonesia Retail Banking (Fee and other income), c) \$0.1bn gain in 2027, on the disposal of Germany custody business.
- **Private Credit exposure:** The Group has shared disclosure on its \$111bn of Private Markets exposure (o.w. \$71bn drawn) including \$22bn of Private Credit related exposure (o.w. drawn \$16bn) with \$6bn of Private Credit and the remainder \$16bn relating to securitisation financing, CRE-related, subscription and other.
- **Likely changes to consensus:** We expect limited changes to consensus with stronger revenue trends likely to be offset by higher costs and a weaker impairment outlook, with any prolonged challenges in the Middle East likely to further weigh on PBT.
- **Conference Call Details:** 7.45am UK [here](#).

Actual vs Expected:

Figure 1: HSBC - 1Q Group results

\$m

	1Q25	4Q25	1Q26e	1Q26 Cons	1Q26A	y/y	q/q	vs Cons.	vs JPMe
Banking NII	10,599	11,722	11,291	11,276	11,253	6%	-4%	0%	0%
Fee and other income	7,141	6,001	7,312	7,406	7,872	10%	31%	6%	8%
o.w. Transaction Banking	2,912	2,648	3,019	2,903	3,081	6%	16%	6%	2%
o.w. Wealth	2,291	2,146	2,611	2,591	2,697	18%	26%	4%	3%
o.w. Other	1,938	1,207	1,682	1,912	2,094	8%	73%	10%	24%
Underlying revenues	17,740	17,723	18,603	18,682	19,125	8%	8%	2%	3%
Underlying costs	-7,911	-8,905	-8,089	-8,179	-8,543	8%	-4%	4%	6%
Pre-provision profit	9,829	8,818	10,514	10,503	10,582	8%	20%	1%	1%
Loan loss provision charge	-876	-901	-1,146	-1,194	-1,301	49%	44%	9%	13%
Operating profit before tax	8,953	7,917	9,367	9,309	9,281	4%	17%	0%	-1%
Associate income	813	669	805	723	774	-5%	16%	7%	-4%
Clean pretax profit	9,766	8,586	10,172	10,032	10,055	3%	17%	0%	-1%
Exceptionals	-282	-1,784	-400	-444	-679				
Pre-tax profit	9,484	6,802	9,772	9,588	9,376	-1%	38%	-2%	-4%
DPS (\$)	0.10	0.45	0.10	0.10	0.10	0%		0%	0%
TNAV/sh (\$)	9.08	9.64	9.65	9.42	9.46	4%	-2%	0%	-2%
B3 CET1 ratio	14.7%	14.9%	14.0%	14.0%	14.0%				
Deposits	1,666	1,787	1,805	1,798	1,782	7%	0%	-1%	-1%

Source: J.P. Morgan estimates, Company data.

Investment Thesis, Valuation and Risks

HSBC Holdings plc (Neutral; Price Target: 1,360p)

Investment Thesis

While we rate HSBC's management highly and believe the group is on the right strategic path over the longer term, we see the investment case as balanced with the stock rated Neutral and trading at a premium to UK/European peers '27, although with ongoing uncertainties including from the Middle East and reduced yields following the announced HSB acquisition. We see a stronger trajectory for costs with the Group's \$1.5bn simplification plan ahead of plan and the cost reallocation plan driving more investment into high growth areas (e.g. Wealth). Wealth remains a strong growth engine, which we forecast at a c14% CAGR, while we continue to highly value the Group's deposit gathering franchise. We expect Banking NII growth at a +3% CAGR 25-28E as rates headwinds ease alongside continued deposit/AIEA growth, although with slowing hedge contributions. CRE is an ongoing risk in HK/CH with our CoR forecasts of c40bps annually, at the top end of the Group's through-the-cycle range. Overall, we see underlying ROTE at c17.5% annually across 26-28E (vs. targets of 17% or better).

Valuation

Our sum-of-the-parts-based Dec-27 price target for HSBC of 1,360p is calculated using a blend of P/E (divisional and regional) on our 2028 estimates, with excess capital at 1x above 14% CT1.

Risks to Rating and Price Target

- **Macro-economic risks:** HSBC is exposed to GDP growth in HK, SAR, and Greater China, the UK as well as FX and cross-border and political risks, which could pose both upside and downside risks. Similarly, the global interest rate and inflation outlook could have an impact on group margins, which may differ from expectations.
- **EM outlook:** We expect the asset quality outlook to deteriorate and forecast CoR growing at the top end of normalised levels in the medium term – with both upside and downside risks to this. This includes specific areas such as China/HK CRE where there are early signs of a positive turn, but this remains volatile. Further, HSBC's stake in BoCom could present downside risk from a revaluation in the current environment.
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HSBC Holdings plc (HSBA.L, HSBA LN) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 11, 2001. All share prices are as of market close on the previous business day.

Date	Rating	Price (p)	Price Target (p)
07-Jul-23	N	610	680
16-Oct-23	N	653	690
16-Jan-24	N	596	660
22-Feb-24	N	590	600
10-Apr-24	N	645	660
01-May-24	N	696	700
15-Nov-24	N	706	730
06-Dec-24	N	751	780
20-Feb-25	N	895	900
20-Mar-25	N	896	920
01-May-25	N	832	830
01-Aug-25	N	923	870
09-Sep-25	N	970	940
17-Oct-25	N	989	950
29-Oct-25	N	1050	1,010
02-Dec-25	N	1080	1,060
05-Feb-26	N	1308	1,190
17-Mar-26	N	1196	1,360

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